Humana. Claims Payment Policy

Subject: Transition Period Billing for an Active Course of Treatment

Application: Medicare Advantage Products
Policy number: CP2023011
Related policies: N/A

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Overview

This policy provides information on billing for services furnished during a Humana Medicare Advantage (MA) member's *transition period* and that are part of an *active course of treatment* that began before the member's enrollment in the plan.

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Medicare Advantage Payment Policy

In addition to the policy, claims payments are subject to other plan requirements for the processing and payment of claims, including, but not limited to, requirements of medical necessity and reasonableness and applicable referral or authorization requirements.

Pursuant to 42 C.F.R. § 422.112(b)(8)(i)(B), to prevent disruption of care, Humana does not require prior authorization for basic Medicare benefits during the first 90 days of a new member's enrollment for *active courses of treatment* that started prior to enrollment. Humana may review the services furnished during that *active course of treatment* against permissible coverage criteria when determining payment.

To facilitate accurate claims processing of a service that, apart from the *active course of treatment* exception discussed above, would normally be subject to plan prior authorization requirements, Humana has developed optional modifier or condition codes. Use of these codes may facilitate claims processing by helping Humana identify claims related to an *active course of treatment* for new members. We encourage each provider to follow the guidance below when submitting claims for services furnished to new enrollees of Humana MA plans other than *private fee-for-service (PFFS)* plans:

- For a *professional claim*, append *modifier **TZ*** to the code reported for each service that was part of an *active course of treatment* during the 90-day *transition period*.
- For an *outpatient facility claim*, append *modifier **TZ*** to the code reported for each service that was part of an *active course of treatment* during the 90-day *transition period*.
- For an *inpatient facility claim*, report *condition code **9T*** for each service that was part of an *active course of treatment* during the 90-day *transition period*.

A provider must not report the modifier or condition code discussed above to bill for a service:

- If the service was not furnished as part of an *active course of treatment* that began before the member's enrollment in the specific Humana MA plan; or
- If the service was not furnished during that enrollment's *transition period*; or
- If the service was furnished to a member of a Humana MA *PFFS* plan.

In circumstances where a claim for a new member is submitted that may involve an *active course of treatment* but the provider did not append a modifier or condition code discussed above, Humana may evaluate medical record documentation included with the claim to determine whether the claim involved an *active course of treatment*.

Note: Do not report the modifier or condition code discussed in this policy when submitting claims to Humana commercial or Humana Medicaid plans.

Definitions of *Italicized* Terms

- ***Active course of treatment:*** A *course of treatment* in which a patient is actively seeing the provider and following the *course of treatment*.
- ***Condition code 9T:*** Service is part of an *active course of treatment* that began before enrollment into the member's current Humana Medicare Advantage plan and was provided during the *transition period*.
- ***Course of treatment:*** A prescribed order or ordered *course of treatment* for a specific individual with a specific condition that is outlined and decided upon ahead of time with the patient and the provider. A *course of treatment* may but is not required to be part of a treatment plan.
- ***Inpatient facility claim:*** Charges for facility services submitted on the UB-04 form, or its electronic equivalent, submitted with a type of bill code that, for Original Medicare, would be used for "Part A" payment.
- ***Modifier TZ:*** Service is part of an *active course of treatment* that began before enrollment into the member's current Humana Medicare Advantage plan and was provided during the *transition period*.

- ***Outpatient facility claim:*** Charges for facility services submitted on the UB-04 form, or its electronic equivalent, submitted with a type of bill code that, for Original Medicare, would not be used for "Part A" payment.
- ***Private fee-for-service (PFFS):*** Private-fee-for-service is a specific type of Medicare Advantage plan, distinct from other MA plan types, such as HMO plans and PPO plans.
- ***Professional claim:*** Charges for professional services submitted on the CMS-1500 form, or its electronic equivalent.
- ***Transition period:*** For an enrollment during which a particular service is furnished, the first 90 days of that specific enrollment.

References

- U.S. Government Publishing Office website. Code of Federal Regulations. Title 42, Section 422.112 – Access to services. www.ecfr.gov.
- U.S. Government Publishing Office website. Federal Register, Vol. 88, No. 70. Department of Health and Human Services. Final Rule CMS-4201-F. www.govinfo.gov.
- Centers for Medicare & Medicaid Services website. Medicare Managed Care Manual. Chapter 4 – Benefits and Beneficiary Protections. www.cms.gov.

General Humana Resources

- Availity – Providers can register for access to information on a variety of topics such as eligibility, benefits, referrals, authorizations, claims and electronic remittances.
- Claims processing edit notifications – Alerts of upcoming claims payment changes are posted on the first Friday of each month.
- Claims resources – Providers can find information on referrals, authorizations, electronic claim submissions and more.
- Education and news – This page can help you find clinical guidelines, educational tools, Medicare and Medicaid resources, our provider magazine and other resources to help you do business with us.
- Making it easier – This page contains an educational series for providers and healthcare professionals.
- Medical and pharmacy coverage policies – Humana publishes determinations of coverage of medical procedures, devices and medications for the treatment of various conditions. There may be variances in coverage among plans.

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